# GMS WEEKLY

Your Source for Recycling News

November 4th, 2022
Volume 244, Issue 1055
*Week 44*


**Highlights:**

- **Too low.**
- **Not serious.**
- **Unworkable LCs.**
- **Drying up.**
- **Economic woes.**
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QUOTE of the WEEK

**"You'll never get bored when you try something new. There's really no limit to what you can do."**

*– Cormac McCarthy*

## MARKET COMMENTARY

### FRANKLY FARCICAL!

Some unbelievably low and unrealistic offers have started to emerge from sub-continent markets this week, and as such, both Owners and Cash Buyers would be well advised to leave ship recycling destinations alone for the time-being, especially until some sort of floor is reached and stability regains a foothold.

It has become increasingly difficult to obtain any firm or serious offers from any recycling market, as currencies continue to suffer across all recycling destinations and steel endures further volatile moves this week.

Workable L/Cs are of chief concern in Bangladesh where End Buyers are struggling to obtain any sort of financing from local banks, amidst strict and ongoing governmental regulations on precious foreign currency reserves in the country.

On the rare occasion when an End Buyer is able to open a workable L/C in Bangladesh (mostly on smaller LDT tonnage), the numbers offered are so pitifully low, it's nearly instantaneous to see tonnage withdrawn and re-directed towards competing markets.

We have even seen Local Recyclers attempting to fix deals with Cash Buyers and Owners, subject to them obtaining approval from their financing banks within 3-4 days, which of course is never going to work and will see Bangladesh deprived of any meaningful tonnage until the end of the year - or at least until some sort of stability is seen.

Finally, at the far end, after holding on and displaying some sort of stability (even though it's in the dumps), things couldn't get worse for Aliaga Buyers as steel prices took a small tumble this week and the Lira gradually slips further.

Overall, the economic situation across the recycling destinations remains precarious, with currencies weakening by the day and a shortage of U.S. Dollars in those countries, governments and banks are failing to sanction suitable financing for a ship recycling that they do not see as imperative under the current climate.

For week 44 of 2022, GMS demo rankings / pricing for the week are as below.

| Demo Rank | Location | Sentiment | Dry Bulk USD / LDT | Tankers USD / LDT | Containers USD / LDT |
|---|---|---|---|---|---|
| **1** | India | Weak | 550 / LDT | 560 / LDT | 570 / LDT |
| **2** | Pakistan | Weak | 540 / LDT | 550 / LDT | 560 / LDT |
| **3** | Bangladesh | Weak | 530 / LDT* | 540 / LDT* | 550 / LDT* |
| **4** | Turkey | Weak | 240 / LDT | 250 / LDT | 260 / LDT |

**Small LDT*

# BANGLADESH

## SINKING LIKE A STONE!

*Woeful.*

Bangladesh has sunk to the bottom of the sub-continent rankings this week, with a woeful display on any of the few (and mostly smaller LDT) tonnage.

In some cases, we have seen Chattogram Buyers present opportunistic offers that are about USD 100/LDT lower than last week's offerings – something that has seen Owners and Cash Buyers immediately withdraw their vessels, unwilling to even entertain discussions at such absurdly low and unrealistically numbers.

*No deal.*

Fundamentals remain one of the key driving factors as the Bangladeshi Taka remains around the BDT 100 mark against the U.S. Dollar, whilst local steel plate prices seem to have declined marginally this week.

With financing from local banks increasingly hard to come by, it is therefore set to be an extremely quiet and frustrating end to the year in Bangladesh.

**NO MARKET SALES REPORTED**

# INDIA

## NO NEED FOR PANIC!

As the most resilient economy in the sub-continent, there is hope that India can lead ship recycling markets out of the current slump, or at least show them the way through some sort of stability during these trying times.

*India resilient.*

On the fundamentals front, steel plate prices have recently come off by nearly USD 21/LDT and the currency continues to trade at a worrying level over Rs. 82 against the U.S. Dollar.

Notwithstanding, tonnage supply remains so low and yards so empty, that there seems to be no need for panic just yet as the excruciating shortage of supply seems to keep Indian prices propped up.

*Cheap billets.*

Unfortunately, two ships with cheap scrap cargo have arrived Kandla and these billets are being offered at heavily discounted prices, which is part of the reason behind the present negative sentiments being experienced in Alang.

**NO MARKET SALES REPORTED**

# PAKISTAN

## CONSTANTLY PERPLEXED!

*Following decline.*

Pakistan has followed the recent decline from competing sub-continent markets and is failing to offer anywhere near serious or competitive or even firm numbers on the absolute paucity of units available for recycling.

Freight markets are still performing well and therefore Gadani buyers do not need to be confused about what to offer, as they are unlikely to receive any serious candidates for the remainder of the year (particularly with their recent performance and L/C issues) and so they may as well wait for some stability to return before returning to market.

*Troubling.*

Gadani remains a market constantly perplexed, and that situation is unlikely to change at all any time soon, whilst fundamentals and the overall economic situation in the country continues to be so troubling.

Local steel plate prices declined by about USD 10/Ton and even the Pakistani Rupee is slipping back down as it passes PKR 221 against the U.S. Dollar this week. It increasingly seems as though this will be a quiet end to the year even for the Pakistani market.

**NO MARKET SALES REPORTED**

# TURKEY

## SLIPPING!

Although the Turkish market had found a degree of stability, despite being in the doldrums, both import and local steel plate prices provided another stinger as they declined by about USD 10/Ton this week.

*Plate drops*

The Lira also weakened marginally this week as it ended the week just north of 18.60 against the U.S. Dollar.

This does not bode well for the Turkish market and is only facing an increased suffocation and disinterest from Aliaga Recyclers to offer on tonnage.

*Lira slips.*

Seems just like the sub-continent markets, we expect little from the Turkish market until 2023.

**NO MARKET SALES REPORTED**

# AMAZING FACTS

- *The first commercial passenger flight lasted only 23 minutes. In 1914, Abram Pheil paid $400 (which would be $8,500 today) for a 23-minute plane ride. The Florida flight flew between Saint Petersburg and Tampa, where only 21 miles of water separate the cities. Pheil, a former mayor of Saint Petersburg, and the pilot, Tony Jannus, were the only passengers. This momentous flight paved the way for air travel as we know it.*
- *The world's first novel ends mid-sentence. The Tale of Genji, written by Murasaki Shikibu in the 11th century, is considered the world's first novel. After reading 54 intricately crafted chapters, the reader is stopped abruptly mid-sentence. One translator believes the work is complete as is, but another says we're missing a few more pages of the story.*
- *The French-language Scrabble World Champion doesn't speak French. New Zealand native Nigel Richards memorized the entire French Scrabble dictionary, which has 386,000 words, in nine weeks to earn his title. He has also won the English World Scrabble Championship three times, the U.S. national championships five times, and the U.K. Open Scrabble tournament six times. This comes 20 years after a 28-year-old Richards first played the game.*

## IMPORTANT DATES

| INDIA | |
|---|---|
| **BANK HOLIDAYS** | **BEACHING TIDES** |
| November 08 – Guru Nanak Jayanthi | November 06 – November 13<br>November 22 – November 29 |

| BANGLADESH | |
|---|---|
| **BANK HOLIDAYS** | **BEACHING TIDES** |
| **No holidays in November** | November 06 – November 09<br>November 22 – November 25 |

| IMPORTANT BANK HOLIDAYS | | |
|---|---|---|
| **CHINA** | **PAKISTAN** | **TURKEY** |
| **No holidays in November** | **No holidays in November** | **No holidays in November** |

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## ALANG - Port Position as of November 04, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| *1* | *Angelos (Under Tow)* | *3,841* | *Tanker* | *Beached October 30* |
| *2* | *Deed 1* | *1,986* | *General Cargo* | *Beached October 28* |
| 3 | Kronshtadtskiy | 1,854 | Reefer | Arrived November 01 |
| 4 | Riviera | 4,833 | RoRo | Arrived November 03 |
| **Total Tonnage** | | **12,514** | | |

## CHATTOGRAM - Port Position as of November 04, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| **1** | **Ariana** | **15,672** | **Tanker** | **Arrived June 22** |
| *2* | *Bo Yang 18* | *3,524* | *Tanker* | *Beached October 30* |
| *3* | *Dawn Luck* | *2,012* | *Tanker* | *Beached October 28* |
| 4 | Farquhar 1 | 495 | Fishing Vessel | Arrived November 01 |
| 5 | Fu Yi | 8,317 | General Cargo | Arrived October 30 |
| 6 | Full Always 168 | 390 | Fishing Vessel | Arrived November 01 |
| **7** | **Gala** | **16,885** | **Tanker** | **Arrived February 28** |
| 8 | Jina | 1,711 | Tanker | Arrived November 01 |
| 9 | Red Pearl | 3,474 | RoRo | Arrived November 01 |
| *10* | *Searich* | *1,778* | *Tanker* | *Beached October 29* |
| **11** | **Winton T128** | **975** | **Bulk Carrier** | **Arrived June 23** |
| **Total Tonnage** | | **55,233** | | |

## GADANI - Port Position as of November 04, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| 1 | Linda Star | 6,475 | Bulk Carrier | Arrived October 19 |
| *2* | *Medrock II* | *1,550* | *Barge* | *Beached October 26* |
| *3* | *Ocean Younker* | *625* | *Tug* | *Beached October 26* |
| *4* | *Sea Master* | *2,316* | *Barge* | *Beached October 27* |
| **Total Tonnage** | | **10,966** | | |

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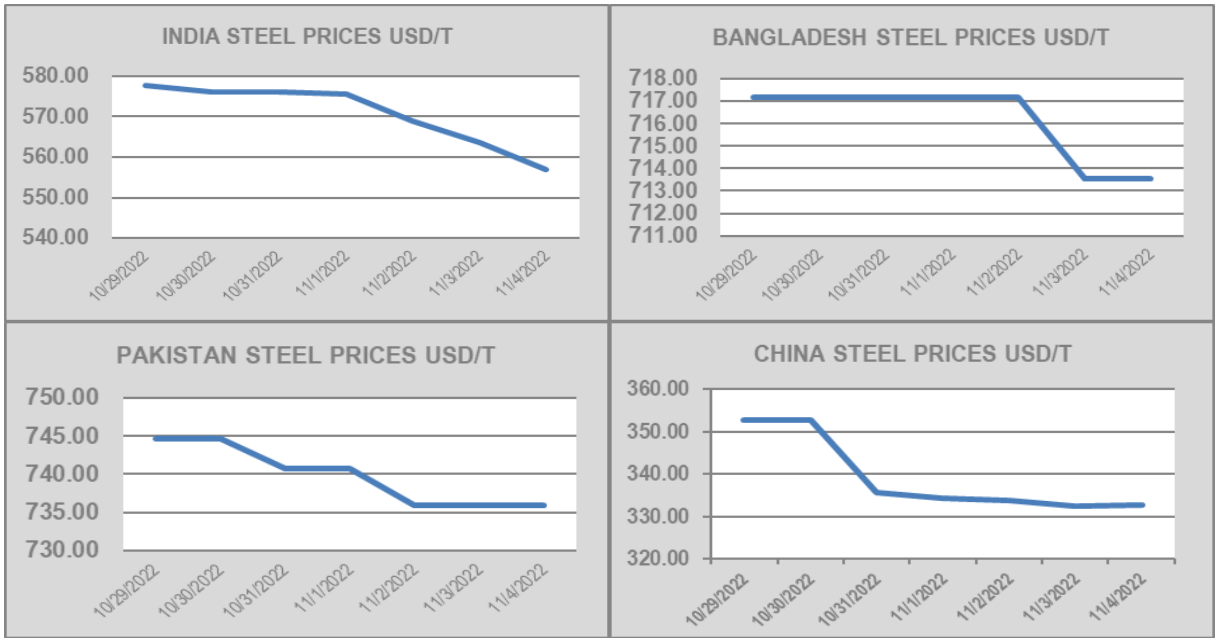
# Steel Plate Prices

| DATE | INDIA STEEL PRICES USD/T | INDIA STEEL PRICES | PAKISTAN STEEL PRICES USD/T | PAKISTAN STEEL PRICES | BANGLADESH STEEL PRICES USD/T | BANGLADESH STEEL PRICES | CHINA STEEL PRICES USD/T |
|---|---|---|---|---|---|---|---|
| 10/29/2022 | 577.81 | 47,600.00 | 744.58 | 165,000.00 | 717.17 | 71,000.00 | 352.89 |
| 10/30/2022 | 576.23 | 47,700.00 | 744.58 | 165,000.00 | 717.17 | 71,000.00 | 352.89 |
| 10/31/2022 | 576.23 | 47,700.00 | 740.74 | 165,000.00 | 717.17 | 71,000.00 | 335.80 |
| 11/1/2022 | 575.50 | 47,600.00 | 740.74 | 165,000.00 | 717.17 | 71,000.00 | 334.35 |
| 11/2/2022 | 568.98 | 47,100.00 | 735.89 | 163,000.00 | 717.17 | 71,000.00 | 333.80 |
| 11/3/2022 | 563.53 | 46,700.00 | 735.89 | 163,000.00 | 713.57 | 71,000.00 | 332.54 |
| 11/4/2022 | 556.90 | 46,000.00 | 735.89 | 163,000.00 | 713.57 | 71,000.00 | 332.85 |

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